

6.2 Mobile Payments

With the advent of the Internet and e-commerce, the scene of monetary transactions shifted from the real to the virtual world. The system of payment by disclosing privileged information gained in popularity as e-commerce grew, and people became comfortable conducting transactions over the Internet. Trade over the Internet meant giving out credit card details and other information such as bank account details.



Mobile payments are yet to gain mass acceptance

PayPal brought about a change in this system by introducing the concept of e-mail payment. These changes in the way people bought and sold goods on the Internet also had an effect on offline transactions, and the onset of the earliest signs of convergence and the extended Internet meant that payments for goods moved away from the computer to any device that could facilitate data transfer. It was here that the mobile phone came into the picture.

A mobile handset that is WAP-enabled can access the Internet and send and receive data just like a computer terminal connected to the Internet. Also, with technologies such as RFID, and connectivity applications such as Bluetooth and infrared, the mobile phone can 'converse' with other devices. Thus data transfer between two devices no longer needed connection to a whole network, but just a certain level of proximity between the two devices.